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Case Study: Penske's Take-Private Offer

Updated as of Oct-26



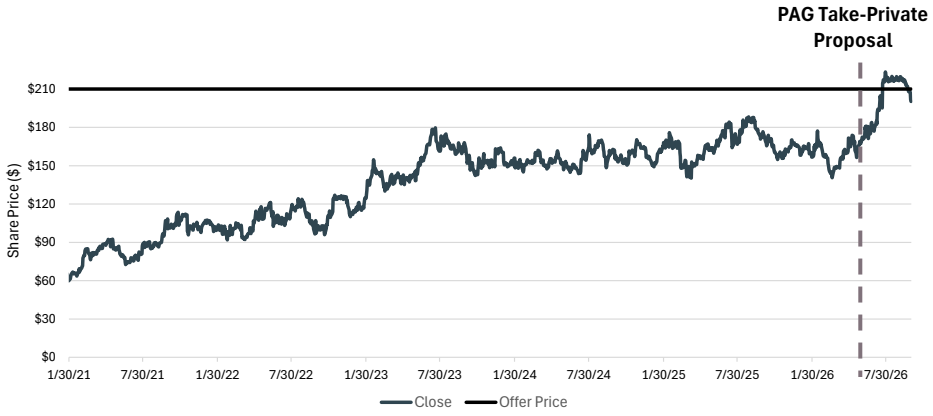
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The Deal: Penske Corporation and Mitsui & Co. Agree to Take PAG Private at $212/share, an 8.6% Premium

Offer Snapshot

Announced	7/22/26 proposal; 10/15/26 agreement
Bidders	Penske Corporation and Mitsui & Co.
Price / Share	$212/share, all cash
Implied Equity Value	$13.9bn at $212/share
Cost to Acquire Public Float	$3.9bn at $212/share
Premium	8.6% to 7/21/26 close; 20.4% to 60-day VWAP
TEV / LTM Adj. EBITDA	11.5x
Financing	Debt plus new equity; no financing condition
Status	Agreement signed 10/15/26; pending shareholder and regulatory approval

PAG Share Price vs. Offer Price



As of 9/30/26, PAG trades at $200/share, up **~3%** since pre-offer closing with an implied closing probability[1] of **~35%**

Current price (9/30/26)	$ 200.3
Pre-offer price (7/21/26)	$ 195.2
Offer price (7/22/26 proposal)	$ 210.0
Implied Probability of Closing[1]	**34.8%**

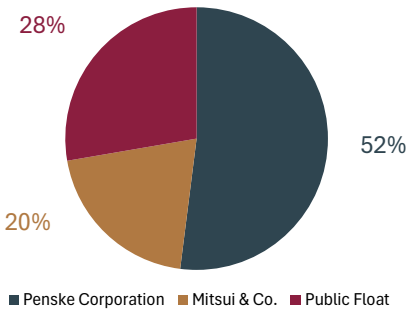
Who Are Penske Automotive and Mitsui

- **Penske Automotive:** One of the largest auto retailers in the world, with 362 franchised dealerships at 6/30/26: 146 in the US and 216 outside the US, principally in the UK
- **Mitsui & Co., Ltd.:** One of Japan's largest trading houses; a strategic partner to PAG since 2001, providing capital, global logistics networks and operational support

Stated Rationale

- The bidders believe PAG is better positioned as a private company to manage disruptive technologies, establish its own warranty business and avoid the burdens of public ownership
- The bidders state the offer gives public shareholders immediate liquidity and certainty of value at a premium
- Mitsui plans to support PAG's growth through collaborative projects drawing on its global network
- Penske Corporation **(41.1%)**, PAG **(28.9%)** and Mitsui **(30.0%)** already co-own Penske Transportation Solutions, the truck leasing business

Who Owns PAG Today



Sources: Mitsui Schedule 13D/A; PAG non-binding offer letter (7/22/26); Mitsui release (10/15/26); PAG 2Q26 Form 10-Q
(1) (Current price – pre-offer price)/(offer price – pre-offer price) at the $210 proposal; assumes the stock returns to its pre-offer level if the deal does not close

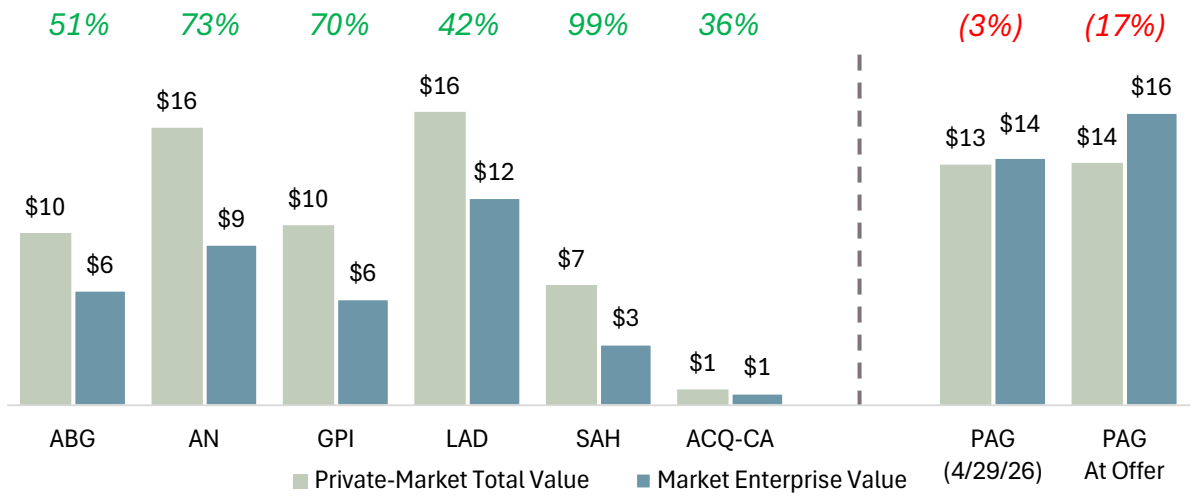
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Peers Trade Below Their Private-Market Value; PAG Trades Above It

Item	PAG (4/29/26)	PAG (At Offer)
Hard assets		
Net working capital	($235)	($164)
Real estate at cost	3,330	3,330
Real estate mark-up to market (+20%)	666	666
FF&E	1,223	1,223
Total hard assets	**$4,984**	**$5,055**
Private-market value		
LTM Adj. EBITDA	$1,412	$1,416
Private-market blue-sky multiple	6.0x	6.0x
Blue-sky value	8,472	8,495
Private-market value	**$13,456**	**$13,550**
What is being paid		
Enterprise value	**$13,840**	**$16,347**
Comparison		
EV above private-market value ($)	$384	$2,797
EV above private-market value (%)	3%	21%
Implied blue-sky multiple	6.3x	8.0x

Market EV vs. Private-Market Value ($bn); % = Upside to Private-Market Value



Why This Deal Is Interesting

- Public franchised dealers trade **27–50%** below estimated private-market value; PAG traded **3%** above it on 4/29/26, before the proposal
- If discount to private-market value drove take-privates, SAH, AN and GPI, which trade at the widest discounts, would be the next candidates
- At $212 per share, the bidders pay an implied blue-sky multiple of **~8.0x** vs. a **6.0x** private-market assumption

What Bidders Are Paying For

- **Full ownership for a fraction of the price:** Penske Corporation and Mitsui already own **~72%**; buying the rest of the **$13.9bn** equity at $212/share costs **~$3.9bn**
- **More than a dealer group:** Penske Transportation Solutions, commercial truck dealerships and distribution generated **~30%** of PAG's pre-tax income in 1H26

Note: $mm. EV = market cap + debt (excl. floorplan) − cash. Hard assets = net working capital + real estate at cost (+20% mark-up) + FF&E. Private-market value = hard assets + 6.0x LTM Adj. EBITDA. Chart % = private-market value / EV − 1. PAG (4/29/26): 1Q26 balance sheet, LTM 1Q26 EBITDA; PAG (At Offer): $212, 2Q26 balance sheet, LTM 2Q26 EBITDA; peers at 9/30/26. Real estate and FF&E: 2025 10-Ks; 1H26 pre-tax income: PAG 2Q26 10-Q. PAG's EV includes its 28.9% Penske Transportation Solutions stake, which is not in hard assets.